

glide path that we had promised? It is a word given after Covid-19, when we really couldn't borrow ... with revenues going down badly... fiscal deficit went to 9.5% or something. So, at that time we promised that we shall get it down a certain path, and we are keeping in line with that path. So, I would think, instead of being surprised, you should say, 'All right, we've noticed that you've kept your word.'

RK: If we look at capacity utilisation as an aggregate for industry, by and large, going back to 2022, it has been a flat line. How do you hope to address this?

A: I think we also have to understand the background to this. Industry's capacity is increased keeping very many other considerations. Today within India, there is a reset happening in industry. They are looking at Industry 4.0 seriously. A lot of them are trying to reset their own businesses so that productivity gains can be accrued to them... the uncertainty is external... if there are industries that are export-oriented,

56 | **"It was not with the revenue consideration in my mind [that capital gains tax rates were changed]. It was to simplify and rationalise [the rates]"**

they also see what is happening around... Europe's demand not really picking up, the Red Sea situation... So, there are very many serious considerations. Also, the way in which the yen in Japan has been crashing... I think the global situation for Indian manufacturers should also be considered, other than... the lack of manpower and the skilling of employees... only a few days ago, we heard L&T say that there are 45,000 jobs for which they are not getting the right personnel... So, capacity utilisation is dependent on so many such factors. I can't say what more Indian industry wants for them to now reach 80% or 90% in terms of capacity utilisation... I would be more worried if it is coming down. Yes, it remaining flat broadly is a factor to be kept in mind. But it's not coming down is something which we cannot afford to miss.

SZ: Over the past 10 years, a lot of money has

been put into agriculture. But if you take a 20-year period, the average growth is 3.5%. Why is agriculture in such distress? What is at the heart of the problem?

A: I wouldn't be able to expand on what is the heart of the problem in agriculture... But at least broadly, I think there is a lot of fragmentation of landholding... the input costs are fluctuating... despite the government giving subsidy, let us say for fertiliser, for farm loans, there are still concerns because the extreme weather conditions are also taking a toll... shift in the monsoon cycle is also weighing heavily on the minds of the farmers. Further, we do not probably have climate-resilient seed varieties in this country... So, there are a lot of challenges, which with science and technology, [and] overcoming the input cost fluctuation we will have to address. So, it is not just a question of—and I am not undermining its importance—MSP. It is also so many other factors that weigh heavily on farmers.

And I will concede this. I remember in 2015 or 2016, because India had a shortage... in terms of total pulses produced. We said, we'll procure and make sure the pulses-producing areas increase. The farmers did a splendid job. And we sent a very clear direction to all those procuring agencies that please procure as much as farmers give to you... [but] somewhere something went wrong. And some farmers unfortunately had to be turned back... I remember this example, from Kalaburagi area of Karnataka... where *toor* dal is grown. Many farmers were unhappy because the procurement didn't happen as they thought it would. And there were shortcomings. So, the government announced it. But on the ground, if you don't execute it at state level, with proper mechanism, it does suffer... So, this time we have announced that we will procure and the emphasis is both on *dalhan* (pulses) and *tilhan* (crop used to make oil). We would want to support both growers because our imports are going up. And we can't afford to have Indian consumption relying on products that come from outside. And the imported inflation is also something that adds to the inflation within this country.

SZ: Farmers complain that whenever they get an opportunity to earn more from exports, the government ends up imposing export curbs. Is that fair to our farmers?

A: It's not. But if I turned to Rahul, he'll say, 'Is that fair to the consumer?' So, I'm caught between the two... So, there is this balance that governments struggle to achieve... most governments have this problem.

RK: Why is the government no longer bullish